

packaged, or *securitized*, into complex instruments known as collateralized mortgage obligations (CMOs). These CMOs were then sold to other investors, effectively passing on the risk like a hot potato through the financial markets, with purchasers lured by the promise of high returns combined with low risk, due to purported diversification.

What people didn't realize, including Wall Street executives, was how deep and interrelated the risks CMOs posed were. Part of the problem was that CMOs were complex financial instruments supported by outdated financial architecture that blended analog and digital systems. The lack of seamless digital documentation made quantifying the risk and understanding exactly what CMOs were composed of difficult, if not impossible. Furthermore, as these CMOs were spread around the world, global investors were suddenly interconnected in a web of American mortgages.¹² In the summer of 2008, despite the lack of financial transparency but emboldened by access to funds from the Federal Reserve in case of further distress, Richard Fuld Jr., the CEO of Lehman Brothers, eerily claimed, "We can't fail now."¹³

As a storm brewed around unknowing Wall Street executives, Satoshi Nakamoto was busy fleshing out the concept of Bitcoin. On August 18, 2008, Bitcoin.org, the home website for information on Bitcoin, was registered.¹⁴ Whether as an individual or an entity, what's now clear is that Satoshi was designing a technology that if existent would have likely ameliorated the toxic opacity of CMOs. Due to the distributed transparency and immutable audit log of a blockchain, each